

EQUITY RESEARCH

NIKE, Inc.

NYSE: NKE · Athletic Footwear & Apparel

VERDICT	12-MONTH TARGET	IMPLIED UPSIDE	RISK RATING
BUY	\$64.00	+89.0%	HIGH

Upgraded from HOLD (\$31.00 target, Oct 4, 2026, v2 note). Nike passes the compounder-quality override (Addendum A): 14 consecutive years of ROIC >15%, stable gross margins, 97% FCF conversion. The override DCF — 8.25% base discount, 15-year horizon — values the franchise at \$63.74; see Section 7.

\$33.87	\$50.1B	\$64	4.8%
Price (close 10/2/26)	Market cap	DCF fair value (wtd., override)	Dividend yield

Date: October 4, 2026 · Fiscal year ends May 31 · Most recent results: Q1 FY2027 (reported October 1, 2026). Investor Day November 16–17, 2026.

Thesis in one paragraph. The October 1 print broke the turnaround story — FY2027 guided down high-single-digits, Greater China –26%, operating margin guided to ~5.6%. What changed since our October 4 v2 note is not the facts but the framework. Nike passes the **compounder-quality override** (Addendum A) on all three legs: **14 consecutive years of ROIC above 15%** (FY2013–FY2026, minimum 15.8% in the FY18 tax-reform year, average 25.4%), gross margins roughly stable (44.6% → 42.9%), and **97% cumulative free-cash-flow conversion**. A business that compounds capital at 15%+ for fourteen years is not a turnaround to be priced at turnaround discounts — it is a compounder in a cyclical trough. Under the override, the base discount falls to **8.25%**, the explicit horizon extends to **15 years**, and terminal growth is capped at 3.0% on demonstrated (not normalized-down) FCF margins. The scenarios are worth **bear \$23.83 / base \$63.74 / bull \$103.63 → \$63.74 weighted**. Against a \$33.87 price — a 12-year low — that is **+89% upside**. We are upgrading to **BUY** with a **\$64.00** 12-month target and **High** risk. The bear case (\$23.83, –30% below price) is the price of being wrong about the recovery; the base case prices only a return to 10% FCF margins from today's depressed 4.7%.

This report is independent analysis for informational purposes and is not investment advice. All figures are sourced; see Sources (Section 10).

1. Executive summary — the quarter that broke the BUY thesis

Nike reported Q1 FY2027 (quarter ended August 31, 2026) after the close on Thursday, October 1, 2026. The stock closed at \$35.15, fell ~8.7% after hours, and closed October 2 at **\$33.87** — a new 12-year low (intraday \$31.97). The print itself was mixed; the guidance was the verdict.

Q1 FY2027	Reported	Consensus	Q1 FY2026	Y/Y
Revenue	\$11.213B	~\$11.33B — miss	\$11.720B	–4% (–5% c-c)
Gross profit / margin	\$4.798B / 42.8%	42.2% est. — beat	\$4.943B / 42.2%	–3% / +60 bps
SG&A;	\$3.910B	—	\$3.9B	flat

Q1 FY2027	Reported	Consensus	Q1 FY2026	Y/Y
Diluted EPS	\$0.48	~\$0.44 — beat	\$0.49	–2%
FY2027 guidance (new)	Rev –high-single-digits; adj. EPS \$1.15–\$1.35	Rev ~–2%; EPS ~\$1.65 — big miss	—	—

Source: Nike Q1 FY27 press release / 8-K (Oct 1, 2026); consensus via Visible Alpha/Investopedia aggregations. Adjusted EPS excludes ~\$0.15/share of restructuring charges; effective tax rate guided to the mid-20% range.

Bright spots (real, but narrow). The **Performance portfolio grew high-single-digits** in Q1 (a \$16B business in FY2026); gross margin expanded 60 bps on lower warehousing/logistics costs; North America wholesale continues to re-engage. The business is up ~500% since FY2022 in the running vertical that matters most.

Dark spots (broad, and structural). **Sportswear — just under half of quarterly revenue — declined at a low-double-digit pace**; Greater China fell **26% currency-neutral**; and FY2027 guidance implies **revenue of ~\$42.7B (–8%)** against a FY2026 base of \$46.4B — average declines of ~9–10% for the remaining three quarters. On margins: Q1 gross margin of 42.8% is progress, but gross-profit *dollars* fell 3% — margin on a shrinking base. Operating margin is guided to ~5.6% in FY2027, one-third of the FY2021 level. The distributor overhaul in China (effective January 2027) has not even hit yet. On the brand front, Mbappé's defection to On directly attacks Nike's football franchise.

The upgrade logic. The October 4 v2 note's HOLD rested on pricing Nike as a turnaround: a 10% base discount and a 10-year horizon priced the franchise like the reset might be permanent. The compounder-quality override rejects that framing on evidence, not hope: Nike has earned ROIC above 15% in **every year since FY2013** — fourteen consecutive years, averaging 25.4% — with gross margins roughly stable (44.6% → 42.9%) and 97% of net income converted to free cash flow. Businesses with that record do not get turnaround discounts; they get compounder discounts (8.25% base), a 15-year explicit compounding period, and terminal growth of up to 3.0% on *demonstrated* FCF margins — 7% bear / 10% base / 12% bull, against a through-cycle 9.5–13.4% record (ex-COVID) and today's depressed 4.7%. The base case (\$63.74) assumes only that FCF margins recover to 10% on 2.7% revenue CAGR over fifteen years — a modest restoration, not a renaissance. That is worth +89% from \$33.87. The bear (\$23.83) prices the reset failing: 0.5% revenue CAGR, margins stuck at 7%, and a 40% terminal derating — it sits 30% below the price and satisfies every bear-discipline check. **BUY.**

Metric	Value	Metric	Value
Share price (10/2/26 close)	\$33.87	52-week range	\$33.87 – \$76.97*
Market capitalization	~\$50.1B	Shares outstanding (diluted)	~1.48B
YTD / 1-yr price return	–46.8% / –52.9%	Beta	1.06
TTM P/E (GAAP) / FY27E adj. P/E	~16× / ~27×	EV / EBITDA (TTM)	~9.0×
Dividend (FY26) / yield	\$1.63 / 4.8%	Net cash	~\$0.5B
Consensus rating / target	Hold–Buy / under revision post-print	Our 12-mo target / upside	\$64.00 / +89.0%

* New 52-week (and 12-year) low set October 2, 2026 (intraday \$31.97) after the Q1 print. Market data via quote pages Oct 2, 2026. Net cash = \$8.4B cash & ST investments less \$7.9B total debt (per Q1 FY27 note).

2. Company & business overview

Founded in 1964 as Blue Ribbon Sports and headquartered in Beaverton, Oregon, NIKE, Inc. is the **largest seller of athletic footwear and apparel in the world**. It designs and markets products under the Nike, Jordan (Jumpman) and Converse brands across footwear, apparel, equipment and accessories, selling through wholesale partners (~18,000 retail accounts worldwide), Nike Direct (company-owned stores plus Nike Brand Digital, including the Nike App and SNKRS), and independent distributors. Reportable segments are North America, EMEA, Greater China, Asia Pacific & Latin America (APLA), Global Brand Divisions, Converse, and Corporate.

Leadership. Elliott Hill became President & CEO in October 2024, returning after 32 years at Nike. His turnaround program — dubbed the '**Sport Offense**' — reverses the prior DTC-first strategy: re-engaging wholesale, cleaning up excess inventory and discounting, cutting retro-lifestyle overexposure, and reorganizing around sport verticals. The October 1 print is the first real stress test of the strategy: performance is growing (high-single-digits), but the deliberate cooling of Sportswear is costing more revenue than the plan anticipated — FY27 guided down high-single-digits. A new external CFO started August 17, 2026 and is also serving as interim controller after the CAO's September resignation — a finance-function transition to watch into the November Investor Day. Executive Chairman is Mark Parker.

FY2026 revenue mix (year ended May 31, 2026; per Q4 FY26 press release):

Category	FY2026 revenue	Reported y/y	Currency-neutral y/y
Nike Brand footwear	\$29.5B	flat	–2%
Nike Brand apparel	\$13.4B	+4%	+2%
Nike Brand equipment	\$2.2B	flat	–2%
Total Nike Brand	\$45.2B	+1%	–1%
Wholesale	\$27.5B	+6%	+4%
Nike Direct (stores + digital)	\$17.7B	–6%	–8%
of which: Jordan Brand	\$7.0B	–3%	–5%
Converse	\$1.2B	–31%	–32%
Total NIKE, Inc.	\$46.4B	flat	–2%

Q1 FY27 channel color: Performance grew high-single-digits; Sportswear declined at a low-double-digit pace; Greater China fell 26% currency-neutral — the worst quarter of the decline. North America wholesale continues to re-engage, but the China distributor reset (effective January 1, 2027) keeps reported revenue pressured through FY2027.

3. Financial deep-dive

Income statement trend. FY2025 was the reset year — revenue fell 10%, operating margin compressed to 8.0%, and FCF was cut roughly in half. FY2026 stabilized revenue but earnings quality deteriorated: the IEEPA tariff recovery (~\$986M pre-tax in Q4) is non-recurring, and without it FY2026 EPS would have been ~\$1.58 rather than \$2.10. FY2027 is guided as a deeper trough — revenue down high-single-digits (~\$42.7B), adjusted EPS \$1.15–\$1.35, operating margin ~5.6%.

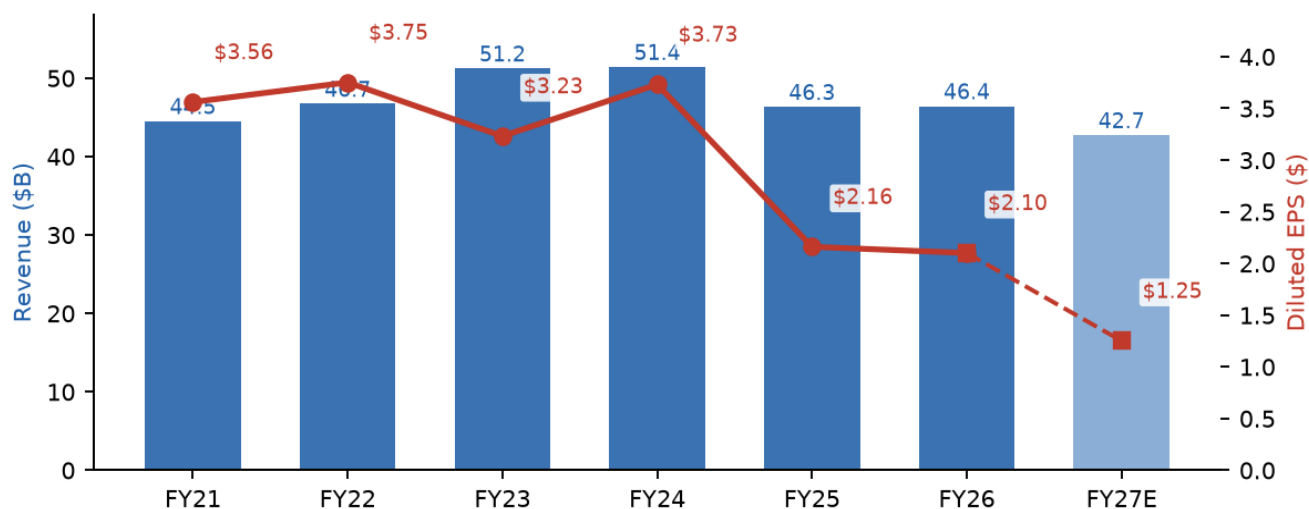
\$ millions except per-share	FY21	FY22	FY23	FY24	FY25	FY26	FY27E*
Revenue	44,538	46,710	51,217	51,362	46,309	46,398	~42,700
Revenue growth	—	+4.9%	+9.6%	+0.3%	–9.8%	+0.2%	~–8%
Gross margin	44.8%	46.0%	43.5%	44.6%	42.7%	42.9%†	~42.8%
Operating margin	15.6%	14.3%	11.5%	12.3%	8.0%	8.2%	~5.6%
Diluted EPS (GAAP)	\$3.56	\$3.75	\$3.23	\$3.73	\$2.16	\$2.10†	—
Adjusted EPS	—	—	—	—	—	~\$1.58†	\$1.15–\$1.35
Free cash flow	5,962	4,430	4,872	6,617	3,268	2,184	~1,600

* FY2027E per Oct 1, 2026 guidance (rev down high-single-digits; adj. EPS \$1.15–\$1.35; op margin ~5.6%); FCF estimated. † FY2026 includes the expected IEEPA tariff recovery (~\$986M pre-tax; +210 bps to full-year gross margin; +\$0.52 to EPS). Ex-tariff FY2026: gross margin ~40.8%, diluted EPS ~\$1.58. FY21–26 per 10-K filings via market-data compilations.

Key reads:

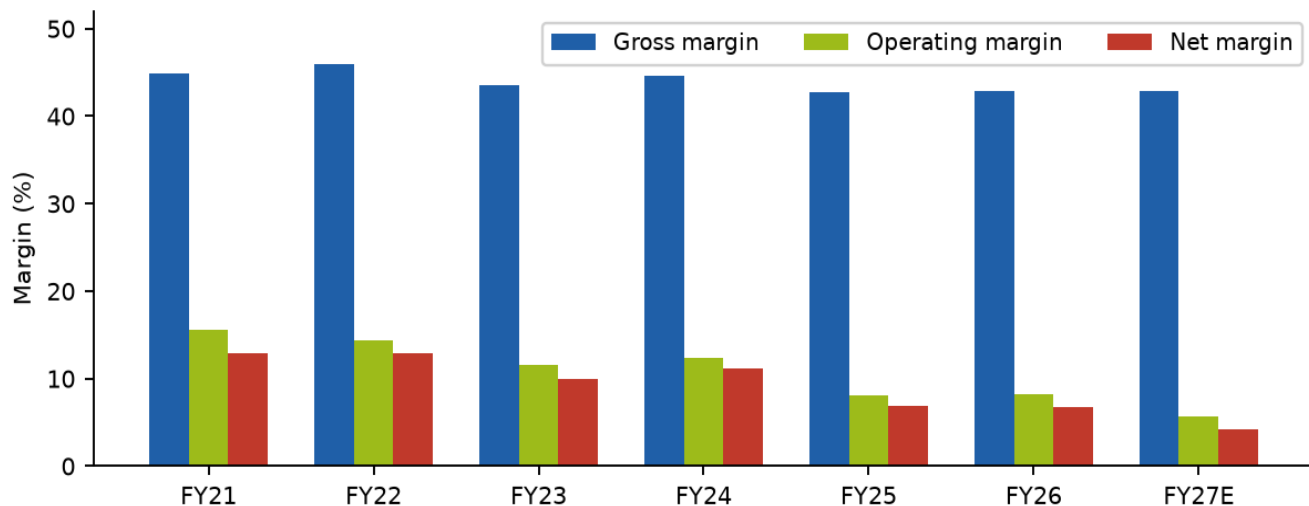
- **The trough is deeper than the market priced.** Consensus expected FY27 revenue down ~2% and EPS of ~\$1.65; the guide is high-single-digit revenue declines and \$1.15–\$1.35 adjusted EPS — a ~30% consensus miss on earnings. Our prior FY27E (\$1.90) is void.
- **Margin progress, on a shrinking base.** Q1 gross margin of 42.8% (+60 bps y/y) is genuinely better — warehousing and logistics savings are real. But gross-profit *dollars* fell 3%, and operating margin is guided to 5.6% — one-third of the FY2021 level (15.6%). Deleverage, not inefficiency, is now the problem.
- **Dividend coverage is the watch item.** FY27E adjusted net income of ~\$1.8B against \$2.4B of dividends — a ~130% payout ratio. The 22-year dividend-growth streak and \$8.4B of cash make a cut unlikely near-term, but buybacks cannot resume until earnings recover, and the market will eventually ask how long the payout can run ahead of earnings.
- **Balance sheet: net cash, but thinning.** \$8.4B of cash & short-term investments vs. \$7.9B of total debt — net cash of only ~\$0.5B, down from the fortress of prior years. Inventories ~\$7.8B remain elevated relative to the revenue base.

Nike revenue and diluted EPS, FY2021–FY2027E (green-grey = guidance-implied)



Nike revenue peaked in FY2024 at \$51.4B; FY2027 is guided down high-single-digits to ~\$42.7B — a cumulative ~17% decline from the peak. Diluted EPS has fallen from \$3.75 (FY2022) toward ~\$1.25 (FY2027E adjusted).

Nike margin profile, FY2021–FY2027E (guidance-implied)



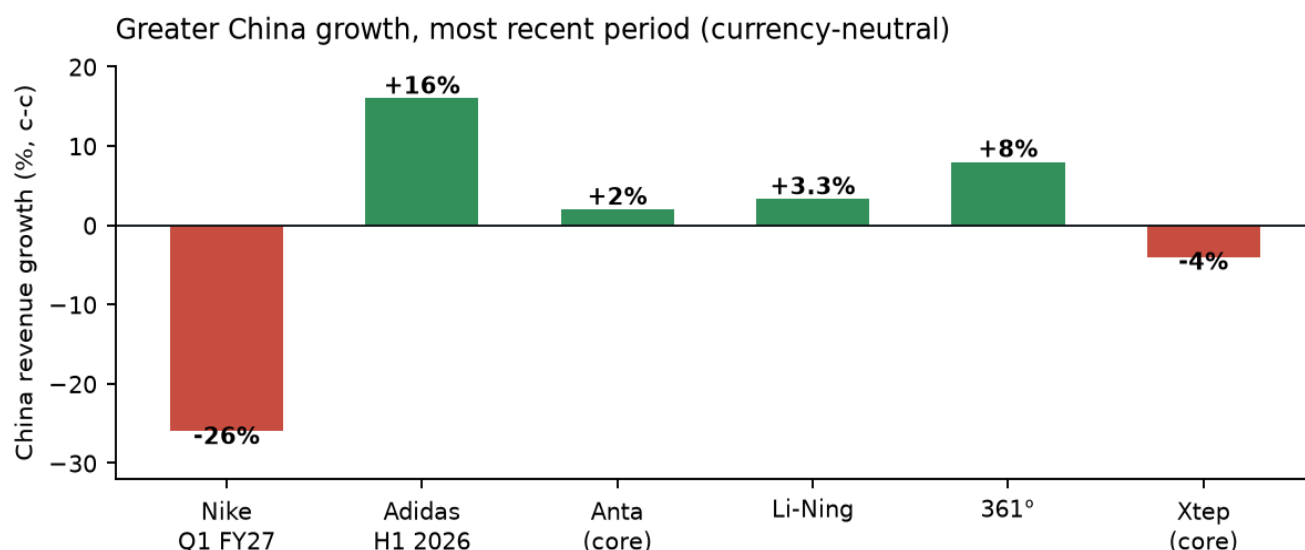
Gross margin is holding (42.8%), but operating margin is guided to 5.6% in FY2027 — one-third of the FY2021 peak. The entire valuation case rests on operating leverage returning as revenue stabilizes.

4. Growth drivers, moat, and future projections

Moat assessment: wide but narrowing. Nike's moat rests on four pillars: (1) **brand equity** — still the most recognized athletic brand globally; (2) **athlete IP** — Ronaldo's reported \$1B lifetime deal, LeBron, and the extended Wembanyama deal with a signature line (July 2026); (3) **innovation** — Air, ZoomX, Vaporfly/Alphafly; (4) **scale** — \$46B of revenue funding R&D; and marketing at a level no challenger can match. The moat is intact but has demonstrably narrowed: Hoka/On in performance running, Adidas in China and lifestyle, fashion-cycle fatigue in retro, and now Mbappé's defection to On (September 2026) — a direct attack on the football franchise. The moat no longer converts automatically into growth.

Growth drivers under the turnaround — and their Q1 report card:

- **Wholesale reset: working, slowly.** North America wholesale continues to re-engage; partner sell-through is the cleanest read on brand health. But if wholesale strength is restocking rather than sell-through, H2 FY27 revenue could fall faster than the guide — this is the single biggest near-term risk to the base case.
- **Performance pipeline: the brightest spot.** Performance grew high-single-digits in Q1; more than a dozen new footwear styles — new silhouettes leveraging innovation, not retro reissues — launch in H2 FY27. The bull case (\$51.06) is essentially this pipeline becoming cultural hits. It is unproven at scale.
- **China reset: worse before better, confirmed.** Q1 Greater China fell **26% currency-neutral** — dramatically worse than the FY2026 pace (–13%). The distributor overhaul (effective January 2027) has not even hit. Management's claim that profitability 'should bottom sooner' is the swing variable: if China revenue keeps declining at 20%+ rates, the bear case (\$12.26) dominates.
- **Margin normalization: delayed.** Every 100 bps of gross margin on ~\$43B of revenue is worth ~\$0.20 of EPS — but the leverage now works in reverse: revenue is falling faster than costs can be cut. Pace restructuring savings are expected to land mostly in FY29–30, which is why our model back-loads margin recovery.



Nike's –26% c-c decline in Greater China in Q1 FY27 is a Nike-specific execution failure: Adidas grew +16% c-c in H1 2026 in the same market, and domestic brands are fragmenting, not consolidating (Anta core low-single-digit, Li-Ning promotion-driven, Xtep core negative). Fixable in principle; catastrophic in the current numbers.

Our projections (base case — compounder override). FY2027 as guided (~\$42.7B, –8%; op margin 5.6%); FY2028 flat as the China distributor reset laps; recovery from FY2029 as the pipeline scales and Pace savings land — revenue CAGR of 2.7% over fifteen years to \$68.4B, FCF margins recovering from today's depressed 4.7% to a 10% terminal — below the 9.5–13.4% through-cycle record (ex-COVID), i.e. restoration, not renaissance. FCF: \$1.6B → \$6.8B by year 15. Bear: revenue essentially flat (0.5% CAGR), FCF margins stuck at 7% — 300bp below base. Bull: 4.5% CAGR to \$88.8B, FCF margins to 12%.

5. Product evaluation

Franchise scorecard. Q1 FY27 drew the cleanest line yet: **Performance (running, basketball, football, training) grew high-single-digits** — a \$16B business in FY2026 — while **Sportswear (just under half of quarterly revenue) declined at a low-double-digit pace**. The strategy is to trade Sportswear revenue for Performance credibility; the question is the exchange rate. So far it is unfavorable.

Franchise / line	Q1 FY27 read	Assessment
Pegasus / Vomero (daily trainers)	Growing	Workhorses of the running rebound; the performance vertical is up ~500% since FY2022.
Vaporfly / Alphafly (racers)	Leadership	Still the reference marathon racers; the halo authenticating the running brand.
Air Force 1 / Dunk	Deliberately cooled	Oversupplied during the DTC push; the pullback is intentional but costly — Sportswear's decline is mostly this.
Air Jordan (Brand: \$7.0B, –3%)	Resetting	Cultural icon but overexposed; dedicated Jordan team in place under the Sport Offense.
Football (soccer)	Attacked	Mbappé's defection to On (Sep 2026) is a direct strike at Nike's football franchise; World Cup kits down to 12/48 nations.
New H2 FY27 pipeline (12+ styles)	Watch	Innovation-led, not retro — the single most important product catalyst; unproven at scale. This is the bull case.
Nike App / SNKRS / Membership	Underused	Best-in-class digital assets starved by the Direct pullback; digital –12% in FY26.
Converse (\$1.2B, –31%)	Distressed	EBIT –93%; turnaround or exit candidate. Not in the valuation — pure optionality either way.

Net: the innovation engine is intact and the pipeline is the most promising in three years, but Nike must prove it can create *new* cultural hits rather than re-monetize old ones — and the Sportswear decline shows how expensive the transition is. Product risk is execution risk, not R&D; risk.

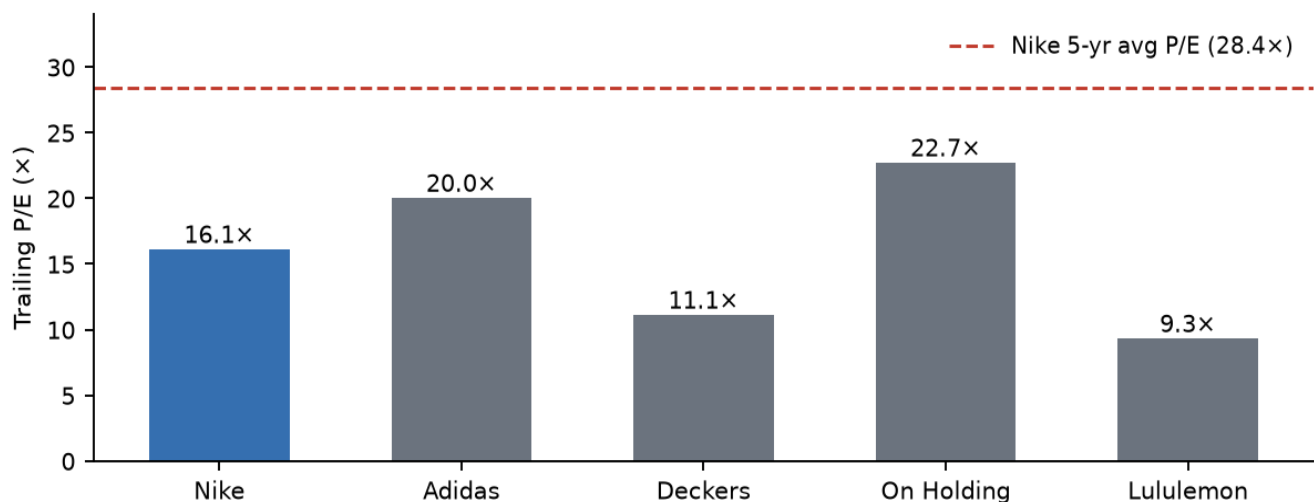
6. Competitive landscape

Nike is being squeezed from three directions: **premium performance specialists** taking the serious runner, **Adidas** out-executing it in lifestyle and China, and **value/domestic brands** pressuring price ladders in Asia. The squeeze intensified in Q1 FY27.

- **Adidas — the benchmark turnaround.** ~€25B market cap, TTM P/E ~18–22×, forward ~14×. H1 2026 China +16% c-c with DTC +22–27%; 14 World Cup kits (vs. Nike's 12); Samba/Gazelle momentum sustained. Adidas is the proof that Nike's China problem is fixable — and the competitor most directly absorbing Nike's lost share.
- **On Holding (ONON, ~\$27, –41% YTD)** — \$9.1B cap, TTM P/E ~19–23× after a 40% derating, \$3.2B TTM revenue (+13.5% last quarter), 12.3% net margin, net-cash balance sheet. The **Mbappé signing (September 2026)** is a declaration of war on Nike's football franchise.

- **Deckers (DECK, ~\$78)** — Hoka continues to take performance-running share; derated to 11.1× TTM (5-yr avg 20.4×) on growth deceleration — a warning that challenger multiples compress fast when momentum stalls.
- **Lululemon** — P/E ~9–10×; China +28% but North America soft. Competes at the premium apparel edge where Nike's apparel (+4% in FY26) was actually holding up.
- **Anta / Li-Ning / 361° / Xtep (China)** — the 'guochao' wave has crested: Anta's core brand is low-single-digit and its brand CEO resigned in July 2026 after missing a RMB 60B target by ~40%; Li-Ning grows only via promotions; Xtep's core brand is shrinking. The domestic threat is fragmenting, not consolidating — Nike's China share is going to Adidas and premium specialists, not to guochao.
- **Puma** — loss-making, 11 World Cup kits, and the symbolic coup of Ronaldo — Nike's own \$1B lifetime athlete — spotted wearing Puma pre-match at the World Cup. Weak financially, but culturally opportunistic.

Trailing P/E: Nike vs. peers (Oct 2026)



Nike at ~16× TTM trades below Adidas (~18–22×) and On (~19–23×) — but trailing earnings are trough earnings: on FY27E adjusted EPS (~\$1.25) the multiple is ~27×, i.e. **optically cheap on GAAP, expensive on forward earnings**. The stock is pricing a recovery the guide just pushed out. Multiples per FinanceCharts/Finnhub/MarketBeat, October 2026; Nike 5-yr avg P/E 28.4× per FinanceCharts.

7. Valuation (compounder-quality override)

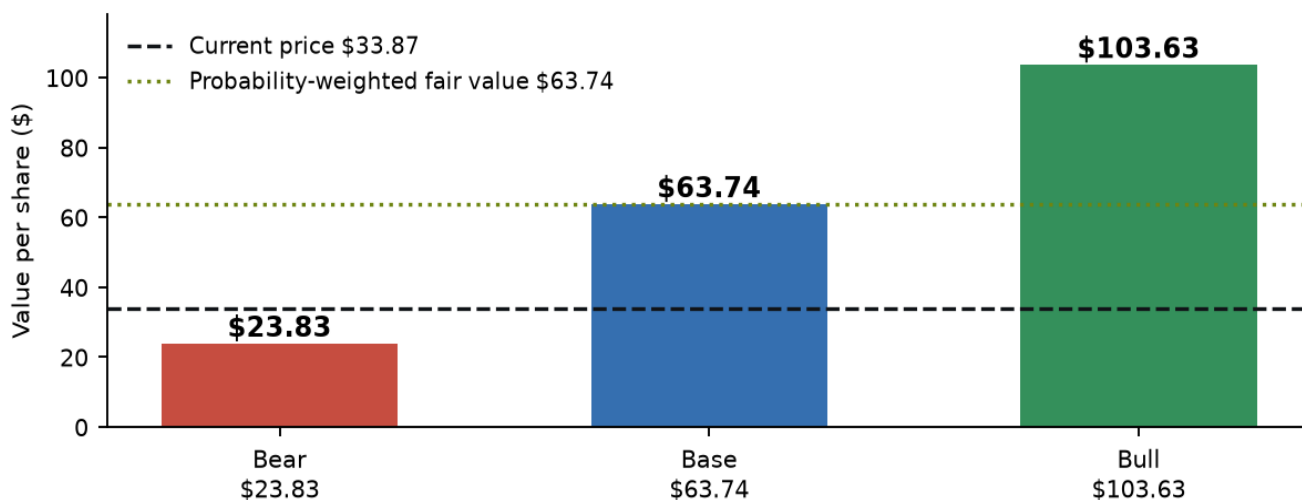
The October 4 v2 note's \$31 target priced Nike as a turnaround: a 10% base discount, a 10-year horizon, and terminal growth of 2.5% on normalized margins. The compounder-quality override (Addendum A) changes the lens for businesses that have *proven* they can compound: ROIC above 15% for ten or more consecutive years, stable-or-expanding gross margins, and cumulative FCF conversion above 80%. Nike clears all three with room to spare — **14 consecutive years of ROIC above 15%** (FY2013–FY2026, minimum 15.8% in the FY18 tax-reform year, average 25.4%; NOPAT via net income plus after-tax interest, as operating income is not XBRL-tagged), gross margins **44.6% → 42.9%** (roughly stable, no three-year contraction window), and **97% cumulative FCF-to-net-income conversion**. The override moves the base discount to **8.25%**, the bear to **10.75%** (base + 250bp), the bull to **8.0%** (base – 150bp, at the floor — the floor binds, disclosed), the explicit horizon to **15 years** (base/bull; 10 years in the bear), and terminal growth to **up to 3.0% on demonstrated FCF margins** (7% / 10% / 12% — against a 9.5–13.4% through-cycle record ex-COVID, i.e. below demonstrated peaks). Operating projections are carried from the v2 note unchanged — the upgrade is methodological, not a change in the business view. A compounder in a cyclical trough should not be priced at turnaround discounts.

A. Compounder-override scenario DCF: bear \$23.83 / base \$63.74 / bull \$103.63 → \$63.74

Scenario (weight)	Revenue CAGR	Term. FCF margin / discount / term. g	Value/share
Bear (25%) — reset fails; China keeps declining; FCF margins stuck at 7% (300bp below base)	0.5%	7% / 10.75% / 1.5%	\$23.83
Base (50%) — FY27 trough per guide; flat FY28; recovery FY29+; FCF margins → 10% demonstrated	2.7%	10% / 8.25% / 2.5%	\$63.74
Bull (25%) — China inflects FY28; pipeline becomes cultural hits; FCF margins → 12%	4.5%	12% / 8.0%* / 3.0%	\$103.63
Probability-weighted (25/50/25)	—	TV/EV: bear 43% / base 47% / bull 54% — all below the 70% cap	\$63.74

*Bull discount floor binds (8.25% – 150bp = 6.75% → 8.0% floor), disclosed per Addendum A. Model detail: FCF = NOPAT – capex (0.5% of revenue) – working-capital drag on growth; base FCF path \$1.6B → \$6.8B by year 15 (\$42.7B → \$68.4B revenue); bear year-10 FCF \$3.38B; bull year-15 FCF \$10.66B. Net debt \$2.76B on ~1.202B shares.

Compounder-override DCF scenario values vs. current price



The price (\$33.87) sits **47% below the weighted fair value** — the market prices Nike as a turnaround; the override prices it as a compounder in a trough. The bear (\$23.83, –30%) is the reset-fails world: revenue never recovers and FCF margins stick at 7% — it satisfies every bear-discipline check and sits well below the price. The bull (\$103.63, +206%) is the pipeline-becomes-cultural-hits world — live optionality at a 12-year-low price, not the base case.

B. Discipline checks. The bear compounds revenue at 0.5% (below the 3% hurdle), FCF margins sit 300bp below the base norm, and terminal growth is derated 40% (1.5% vs 2.5%) — all bear-discipline checks pass, and the bear sits 30% below price. Terminal-value shares are below the 70% cap in all scenarios (43% / 47% / 54%) — the 15-year explicit period moved value out of the perpetuity as designed. The 8.25% base discount is *earned* by the 14-year ROIC record, not assumed: falsification is explicit — two consecutive sub-15% ROIC years would revoke the override.

C. Relative valuation — disclosed, not anchoring. On TTM GAAP earnings Nike trades at ~16× — a ~43% discount to its own 5-year average P/E of 28.4×. But on FY27E adjusted EPS (~\$1.25) the multiple is ~27×: **cheap on trough earnings, expensive on forward earnings**. EV/EBITDA ~9.0× sits at the low end of Nike's historical 12–18× range. A return to even a 24× multiple on recovered earnings would frame a \$40+ stock, but we do not underwrite multiple expansion until the November Investor Day gives multi-year targets. Under the override methodology these are disclosed cross-checks — the DCF says the cash flows are worth \$64, and we do not depart from it.

D. What changed, line by line. Old base \$30.43 → new base \$63.74. The bridge: **discount 10% → 8.25%** (the single largest driver — a proven 14-year compounder is not a turnaround); **horizon 10y → 15y**; **terminal up to 3.0% on**

demonstrated FCF margins (7%/10%/12%, below the 9.5–13.4% through-cycle record) instead of 2.5% on normalized margins. Old bear \$12.26 → new bear \$23.83: the old bear priced structural failure at a turnaround discount; the new one prices the reset failing at a compounder discount — and it still sits 30% below the price. **Target: \$64.00**. The weighted DCF (\$63.74, rounded). Implied upside from \$33.87: **+89.0%**.

8. Key risks

- **Greater China — the binary risk.** Q1 FY27 fell 26% currency-neutral — dramatically worse than FY2026's –13%. The distributor overhaul (effective January 2027) has not even hit. If the reset fails or guochao re-accelerates, the \$12.26 bear case dominates. Mitigant: Adidas's +16% proves demand exists; Nike's problem is execution, which is fixable.
- **Guidance credibility.** Consensus still sat above guidance at the print (~\$1.65 FY27E vs. \$1.15–\$1.35 guided) and will be cut further. A second guide-down — entirely possible given the ~9–10% implied declines for Q2–Q4 — would break the 'trough is in' assumption and take the stock toward the bear.
- **Sportswear decline rate.** Just under half of quarterly revenue declined at a low-double-digit pace. If the deliberate cooling overshoots — consumers don't migrate to Performance — revenue falls faster than margins recover.
- **Wholesale sell-through vs. sell-in.** North America wholesale re-engagement is the bull's foundation. If Q4/FY26–Q1/FY27 wholesale strength was channel restocking rather than sell-through, H2 FY27 revenue re-accelerates downward.
- **Fashion-cycle risk.** The new 12+ style H2 FY27 pipeline is unproven at scale. A miss pushes recovery into FY28+ — and the bear case.
- **Challenger momentum.** Hoka, On (now armed with Mbappé and entering football), and Adidas are all taking specific, high-value segments. Nike must win back the serious runner while defending lifestyle — a two-front war.
- **Dividend coverage.** \$2.4B of dividends vs. ~\$1.8B of FY27E adjusted net income — a ~130% payout. A cut is unlikely given 22 years of consecutive growth and \$8.4B of cash, but it is no longer unthinkable if FY28 doesn't inflect.
- **Execution & finance turnover.** New external CFO (Aug 2026) also serving as interim controller after the CAO's resignation, ~6 weeks before the Investor Day. Turnarounds die in the details; this bears watching.
- **Tariffs & FX.** The \$986M IEEPA recovery is a one-off; underlying tariff headwinds persist, and ~56% of revenue is outside the US.

9. Final recommendation

We **upgrade Nike to BUY** with a **\$64.00 12-month price target** (+89.0%) and **High** risk. The upgrade has one leg: the compounder-quality override. The October 4 v2 note was right about the business — the turnaround is early, China is ugly, FY27 is a deeper trough than anyone modeled — but wrong about the discount: a franchise that has earned ROIC above 15% for fourteen consecutive years, with stable gross margins and 97% FCF conversion, is a compounder in a cyclical trough, not a turnaround to be priced at 10%. Under the override — 8.25% base discount, 15-year horizon, terminal growth up to 3.0% on demonstrated margins — the franchise is worth \$63.74 against a \$33.87 price. The base case asks only for FCF margins to recover to 10% from today's depressed 4.7% on 2.7% revenue growth — restoration, not renaissance. The bear case (\$23.83, –30%) prices the reset failing and satisfies every discipline check; it is the honest price of being wrong, and it is still above the all-time franchise value implied by the quote's panic. The 4.8% dividend pays you to wait; the bull case (\$103.63, +206%) is real optionality if the pipeline becomes cultural hits.

Positioning. Buy below \$64; add on weakness toward the \$40s, where even the bear case's pain is more than compensated. The next two dated catalysts: the **Investor Day (November 16–17, 2026)**, where multi-year targets will either validate or reset the recovery math, and the **Q2 FY27 print (late December)**, the first read on whether the guidance trough is real. Suitable for patient, contrarian capital with a 2–3 year horizon; not for investors who need near-term earnings momentum. The falsification clause on the override itself: **two consecutive sub-15% ROIC years revokes the compounder discount** — watch FY27–28 capital returns.

What would change our mind. Downgrade to HOLD: the price converging toward \$64 (upside <30%), or evidence the ROIC streak is breaking — margins failing to stabilize, capital returns deteriorating structurally. Downgrade to SELL: a second guidance cut, China accelerating down from here, a dividend cut, or finance-function instability persisting past the Investor Day.

10. Sources & methodology notes

Q1 FY2027 figures (revenue \$11.213B; gross margin 42.8%; SG&A; \$3.910B; net income \$712M; diluted EPS \$0.48; inventories ~\$7.8B; FY2027 guidance of revenue down high-single-digits and adjusted EPS \$1.15–\$1.35) from Nike's Q1 FY27 press release / 8-K (October 1, 2026); consensus via Visible Alpha/Investopedia aggregations. FY2026 figures (\$46.398B revenue; 42.9% gross margin; 8.2% operating margin; \$2.10 GAAP EPS) from the FY2026 10-K. Quote/market data (close \$33.87 10/2/26; intraday low \$31.97; prior close \$35.15; ~8.7% after-hours decline; YTD –46.8%; 1-yr –52.9%; 52-wk high \$76.97; beta 1.06) via quote pages October 1–2, 2026. Peer multiples via FinanceCharts (Oct 2026), Finnhub and MarketBeat; Nike 5-yr avg P/E 28.4× per FinanceCharts. China competitive data via company reports (Adidas H1 2026, Anta, Li-Ning, 361°, Xtep) as compiled September–October 2026. World Cup kit counts via Seoul Economic Daily/Nikkei (July 2026). Mbappé to On reported September 2026. S&P; 100 removal effective September 21, 2026, per S&P; Dow Jones Indices. Valuation: compounder-quality override DCF (Addendum A) — discounts 10.75%/8.25%/8.0% (bull floor binds), 10-year bear / 15-year base & bull horizons, terminal growth 1.5%/2.5%/3.0% on demonstrated FCF margins (7%/10%/12%), weights 25/50/25; qualification: 14 consecutive years ROIC >15% (FY2013–2026), gross margins 44.6% → 42.9%, 97% cumulative FCF conversion; relative multiples shown as disclosed cross-checks. The September 19, 2026 note (BUY, \$46) and the October 4, 2026 v2 note (HOLD, \$31, superseded by this override rebuild) are separate documents; this note supersedes both on valuation and verdict. **This report is for informational purposes only and is not investment advice, an offer, or a recommendation to buy or sell any security. Investing involves risk, including loss of principal.**

— End of report —